

Building Performance In Illinois

Michael Lotesto has been in the construction and remodeling business for 26 years. But two years ago, after receiving certification as a Building Analyst and an Envelope Specialist from the Building Performance Institute (BPI), he converted his traditional construction business to Performance Exteriors, a new company that is built around the home performance model. With eight employees so far, Lotesto expects to achieve \$1.75 million in annual sales in this his second year.

BPI's mission is to promote the development of a highly professional building performance industry through the certification and accreditation of those in the industry. Lotesto is the first BPI-certified contractor in Illinois.

Eye-Opening Education

The building science training that Lotesto underwent to become BPI-certified is what sparked the change in his business model. Lotesto has always sought out new information about products or improved installation methods, so when he first learned about building science, he naturally felt inspired to jump into the training with both feet. He was so inspired, in fact, that he shut his business and moved temporarily to New York State to absorb as much building science information and home performance business experience as he could get. "My eyes were opened many times," says Lotesto. He came to realize how important this level of expertise is for the remodeling business.

Now Lotesto no longer markets just products or installations as most remodeling companies do. "Those are the last things we mention," Lotesto says. "Now we market solutions, which is truly what customers call contractors

for. People don't call because they want pink stuff in their attics."

His response to a customer call has also changed significantly. Now, he and his employees listen to a complaint, test and diagnose the problems, provide the solutions, and then verify the solutions. "We don't tell the house what it needs," says Lotesto. "The house tells us, and everyone wins. The homeowner is thrilled to receive the promised results."

Opportunity Abounds

Performance Exteriors receives no program support of any kind, and yet business is excellent, thanks in part to the tremendous exposure his company has gotten from the media. Articles about him have appeared in various newspapers and in numerous trade magazines. The company has been featured on TV, and Lotesto has been interviewed on many local radio shows. Although many of the stories were prompted by rising energy costs, that's not what customers are usually calling about. "We get many more calls based on comfort complaints," says Lotesto.

Ironically, says Lotesto, when tackling comfort complaints, he also generally reduces energy costs—and provides better indoor air quality (IAQ), improves health and safety, and addresses moisture issues and noise complaints (see "How Do You Spell IAQ?" p. 34). Still, he doesn't get customers complaining about those additional benefits. "I've yet to run into a customer who says I don't want those other benefits," he jokes.



Michael Lotesto is the first BPI-certified contractor in Illinois.

Although Lotesto would welcome the advent of a program supporting home performance improvements in his area, he sees a mixed

blessing in its absence. Lotesto doesn't have to base his improvement recommendations strictly on the savings that such improvements might incur. Instead, Lotesto offers packages of improvements, from less expensive options—duct sealing, for example—to high-end choices, such as replacing old windows with highly efficient ones plus custom shading. With this mix, Lotesto says, he can deliver improved energy efficiency and a prettier home.

True to his continual striving for improvement, Lotesto is not content to simply be the first certified contractor in Illinois. He is now going through BPI's process to establish his company as the first affiliate for BPI in Illinois. A BPI affiliate delivers training and other services aimed at expanding the network of building performance industry professionals.

Lotesto has been operating his business out of a 4,500-square foot training facility in Crystal Lake, Illinois. At presstime, Lotesto was anticipating being able to offer training for BPI certification in this facility in the fall. He plans to woo contractors to the BPI certification model and to his training facility from as close as nearby Chicago to the farther shores of Wisconsin and Indiana. The home performance industry is a terrific opportunity, says Lotesto, for people who are mentally flexible. Think crouching tiger, hidden contractor gymnast.

—Mary James

Mary James is the publisher of *Home Energy*.